

Financial Literacy FAQs (Malawi & Africa Context)

What is financial literacy?

It is the ability to understand and use financial skills such as budgeting, saving, borrowing, investing, and managing risk to make informed decisions. In Malawi, it also means knowing how to use financial services (banks, mobile money, VSLAs) effectively and safely.

Why is financial literacy important?

It helps households avoid costly mistakes, reduce vulnerability to scams, plan for the future, and make better use of financial services. In rural Malawi, it supports better use of mobile money and village savings groups.

How do I make a budget?

Write down all your income and expenses. Separate 'needs' from 'wants'. Allocate money first to needs, savings, and debt repayment. Adjust regularly.

How much should I save each month?

A common rule is 20% of income, but even small, regular savings help. Save with a purpose — emergency fund, school fees, or farming inputs.

What is an emergency fund?

An emergency fund is money set aside for unexpected expenses such as medical bills, crop failure, or job loss. Aim for 3–6 months of basic expenses.

What is the difference between saving and investing?

Saving means keeping money safe, usually in a bank or savings group, with low risk but low return. Investing means buying assets (e.g. shares, livestock) that may bring higher returns but carry more risk.

Should I pay debts first or save?

Pay off high-interest debts (such as moneylenders or expensive loans) as soon as possible. At the same time, try to build small savings for emergencies.

How can I improve my credit score or reputation with lenders?

Repay loans on time, borrow only what you can afford, and keep good records. In VSLAs or with banks, consistent saving and repayment builds trust.

What are common financial mistakes?

Overspending, borrowing too much, not reading loan terms, ignoring mobile money fees, and failing to save early. Avoid these by planning and asking questions before signing any financial contract.

Where can I learn more?

Resources include: Reserve Bank of Malawi (financial literacy programs), Old Mutual Malawi financial education campaigns, FinScope Malawi reports, and NGO programs like UNCDF and FINCA. Mobile operators (Airtel, TNM) also share digital financial literacy tips.

Sources & References

- Reserve Bank of Malawi – Financial Inclusion & Literacy Programs
- Malawi National Strategy for Financial Inclusion (2023–2028)
- UNCDF – Financial and Digital Literacy Toolkit
- World Bank – Malawi Financial Literacy Technical Notes
- GSMA – Digital Financial Literacy Toolkit
- FinMark Trust – FinScope Malawi Surveys
- OECD/AFI – Financial Education Measurement Toolkits